Form **8958**
(Rev. November 2023)
Department of the Treasury
Internal Revenue Service

Allocation of Tax Amounts Between Certain Individuals in Community Property States

Attach to Form 1040, 1040-SR, or 1040-NR.
Go to *www.irs.gov/Form8958* for the latest information.

OMB No. 1545-0074

Attachment Sequence No. **63**

Your first name and initial	Your last name	**Your social security number (SSN)**
Spouse's or partner's first name and initial	**Spouse's or partner's last name**	**Spouse's or partner's SSN**

	A Total Amount	**B** Allocated to Spouse or RDP SSN ___ - ___ - ___	**C** Allocated to Spouse or RDP SSN ___ - ___ - ___
1 Wages (each employer)			
2 Interest income (each payer)			
3 Dividends (each payer)			
4 State income tax refund			
5 Self-employment income (see instructions)			
6 Capital gains and losses			
7 Pension income			
8 Rents, royalties, partnerships, estates, trusts			

	A Total Amount	B Allocated to Spouse or RDP SSN ___ - ___ - ___	C Allocated to Spouse or RDP SSN ___ - ___ - ___
9 Deductible part of self-employment tax (see instructions)			
10 Self-employment tax (see instructions)			
11 Taxes withheld			
12 Other items such as social security benefits, unemployment compensation, deductions, credits, etc.			

General Instructions

Future developments. For the latest information about developments related to Form 8958 and its instructions, such as legislation enacted after they were published, go to *www.irs.gov/Form8958*.

Purpose of Form

Use Form 8958 to allocate tax amounts between spouses or registered domestic partners (RDPs) with community property rights, who file separate income tax returns. If you need more room, attach a statement listing the source of the item and the total plus the allocated amounts. Be sure to put your name and social security number (SSN) on the statements and attach them at the end of your return.

Community property laws affect how you figure your income on your federal income tax return if you are spouses or RDPs, live in a community property state or country, and file separate returns.

This form is intended for individuals who:

1. Are subject to community property laws, and
2. File separate federal income tax returns.

See Pub. 555, Community Property, for more information.

Community or Separate Income

You must report half of all community income and all of your separate income on your federal income tax return if you file a federal income tax return separately from your spouse or RDP. Generally, the laws of the state in which you are domiciled govern whether you have community income or separate income for federal tax purposes.

Generally, community income is income from:

- Community property;
- Salaries, wages, or pay for services of you, your spouse or RDP, or both during your marriage or registered domestic partnership; or
- Real estate that is treated as community property under the laws of the state where the property is located.

Generally, income from separate property is the separate income of the spouse or RDP who owns the property.

Special rules apply for spouses living apart all year and for spouses one or both of whom are nonresident aliens.

For more information, see Pub. 555.

Identifying Income and Deductions

You and your spouse or RDP must be able to identify your community and separate income, deductions, credits, and other return amounts according to the laws of your state.

Income

The following is a discussion of the general effect of community property laws on the federal income tax treatment of certain items of income.

Wages and self-employment income from sole proprietorship. A spouse's or RDP's wages and self-employment income from a sole proprietorship are community income and must be evenly split.

Interest, dividends, and rents. Interest, dividends, and rents from community property are community income and must be evenly split.

Gains and losses. Gains and losses are classified as community or separate depending on how the property is held.

Withdrawals from individual retirement arrangements (IRAs). There are several kinds of IRAs. Distributions of IRAs by law are deemed to be separate property, even if the funds in the account would otherwise be community property.

These distributions are wholly taxable to the spouse or RDP whose name is on the account. That spouse or RDP is also liable for any penalties and additional taxes on the distributions.

Pensions. Generally, distributions from pensions will be characterized as community or separate income depending on the respective periods of participation in the pension while married (or during the registered domestic partnership) and domiciled in a community property state or in a noncommunity property state during the total period of participation in the pension. These rules may vary between states.

Partnership income. If an interest is held in a partnership, and income from the partnership is attributable to the efforts of either spouse or RDP, the partnership income is community property.

Income. For spouses, community income exempt from federal tax generally keeps its exempt status for both spouses. For example, under certain circumstances, income earned outside the United States is tax exempt. If you earned income and met the conditions that made it exempt, the income is also exempt for your spouse even though your spouse may not have met the conditions. RDPs should consult the particular exclusion provision to see if the exempt status applies to both partners.

Income from separate property. In some states, income from separate property is separate income. Other states characterize income from separate property as community income.

For more information, see Pub. 555. For specific information that pertains to your situation, check with the laws of your state.

Deductions

If you file separate returns, your deductions generally depend on whether the expenses involve community or separate income.

Business and investment expenses. Expenses incurred to earn or produce community business or investment income are generally divided between you and your spouse or RDP. See Pub. 555 for more information.

IRA deduction. Deductions for IRA contributions cannot be split between spouses or RDPs. The deduction for each spouse or RDP is figured separately and without regard to community property laws.

Personal expenses. Expenses that are paid out of separate funds, such as medical expenses, are deductible by the spouse or RDP who pays for them. If these expenses are paid from community funds, divide the deduction equally between you and your spouse or RDP.

Deductible portion of self-employment tax. The deductible portion of the self-employment tax is split only when the self-employment tax is split.

Credits, Taxes, and Payments

Self-employment tax. Although the self-employment tax rules contain a provision that overrides community income treatment in the case of spouses (section 1402(a)(5)), this provision does not apply to RDPs. RDPs split self-employment income from sole proprietorships and partnerships for self-employment tax purposes.

The following rules apply only to persons married for federal tax purposes.

***Sole proprietorship*.** With regard to net income from a trade or business (other than a partnership) that is community income, self-employment tax is imposed on the spouse carrying on the trade or business.

Partnerships. All of the distributive share of a married partner's income or loss from a partnership trade or business is attributable to the partner for computing any self-employment tax, even if a portion of the partner's distributive share of income or loss is community income or loss that is attributable to the partner's spouse for income tax purposes. If both spouses are partners, any self-employment tax is allocated based on their distributive shares.

Federal income tax withheld. If you and your spouse file separate returns on which each of you reports half the community wages, each of you is entitled to credit for half the income tax withheld on those wages. Likewise, each RDP is entitled to credit for half the income tax withheld on those wages.

To determine estimated tax payments, earned income credit, and overpayments, see Pub. 555 for more information. For specific information that pertains to your situation, check with the laws of your state.

Specific Instructions

How To Complete Form 8958

To complete Form 8958, identify your community or separate income, deductions, credits, and other return amounts on the separate lines under the item name on lines 1 through 12.

Enter the total amount of your community or separate income, deductions, credits, and other return amounts on their respective lines in column A. Enter each spouse's or RDP's allocation of these amounts in columns B and C. Together, columns B and C should equal column A.

Line 1

Identify the wages from each payer on separate lines. Enter the total from each payer in column A. Allocate the total from column A between each spouse or RDP in columns B and C.

Line 2

Identify the interest from each payer on separate lines. Enter the total from each payer in column A and allocate the total from column A between each spouse or RDP in columns B and C.

Line 3

Identify the dividends from each payer on separate lines. Enter the total from each payer in column A and allocate the total from column A between each spouse or RDP in columns B and C.

Line 4

Identify the state income tax refund from each payer on separate lines. Enter the total from each payer in column A and allocate the total from column A between each spouse or RDP in columns B and C.

Line 5

Identify the self-employment income from each entity on separate lines. Enter the total from each entity in column A and allocate the total from column A between each spouse or RDP in columns B and C.

Line 6

Enter the gain or loss from each entity. Enter the total from each entity in column A and allocate the total from column A between each spouse or RDP in columns B and C.

Line 7

Enter the pension income from each payer on separate lines. Enter the total from each payer in column A and allocate the total from column A between each spouse or RDP in columns B and C.

Line 8

Identify the rent, royalty, partnership, estate, or trust item(s) on separate lines. Enter the total(s) from each item(s) in column A and allocate the total(s) from column A between each spouse or RDP in columns B and C.

Line 9

Identify the deductible part of self-employment tax from each entity on separate lines. Enter the total from each entity in column A and allocate the total from column A between columns B and C.

Line 10

Identify the self-employment tax from each entity on separate lines. Enter the total from each entity in column A and allocate the total from column A between columns B and C.

Line 11

Identify the taxes withheld from each payer or entity on separate lines. Enter the total from each payer or entity in column A and allocate the total from column A between each spouse or RDP in columns B and C.

Line 12

Identify any item not previously reported, such as social security benefits, unemployment compensation, deductions, credits, etc., on separate lines. Enter the total from each item in column A, then allocate the total from each item from column A between each spouse or RDP in columns B and C.

Paperwork Reduction Act Notice. We ask for the information on this form to carry out the Internal Revenue laws of the United States. You are required to give us the information. We need it to ensure that you are complying with these laws and to allow us to figure and collect the right amount of tax.

You are not required to provide the information requested on a form that is subject to the Paperwork Reduction Act unless the form displays a valid OMB control number. Books or records relating to a form or its instructions must be retained as long as their contents may become material in the administration of any Internal Revenue law. Generally, tax returns and return information are confidential, as required by section 6103.

The average time and expenses required to complete and file this form will vary depending on individual circumstances. For the estimated averages, see the instructions for your income tax return.

If you have suggestions for making this form simpler, we would be happy to hear from you. See the instructions for your income tax return.